

Week ending: 31st December 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The T-bills were undersubscribed with the **91-day, 182-day** and **364-day** recording **16.42%, 5.65%** and **39.54%** respectively**.** The CBK accepted KES **0.68B**, **0.56B** and **3.95B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

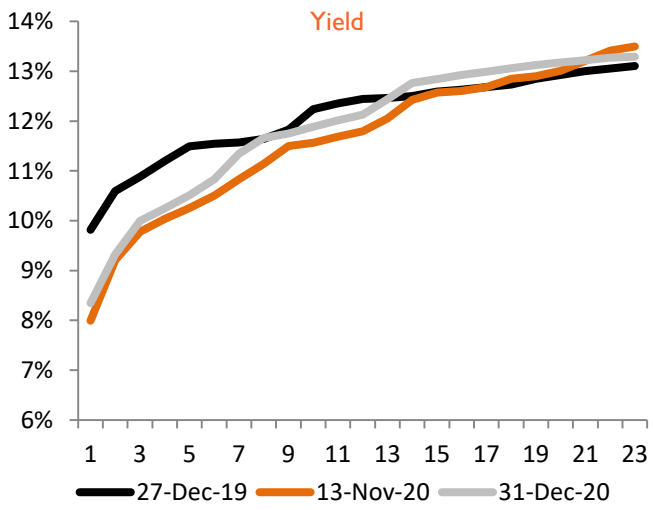
In January, Central Bank of Kenya opened two fixed bonds **FXD1/2021/002** and **IFB1/2021/016** in a bid to raise **25 Billion** & **50 Billion** respectively. The period of sale for the bonds runs from **21/12/2020** to **05/01/2021** for the **FXD1/2021/002** and **21/12/2020** to **19/01/2021**for the **IFB1/2021/016**. The **FXD1/2021/002** bond will attract a withholding tax of **15%** while the **IFB1/2021/016** will be tax free.

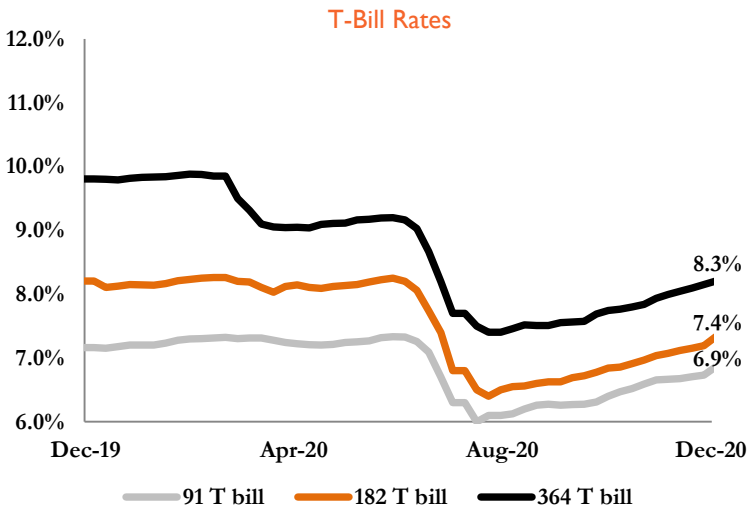
Key Indicators

	Current	Previous	% Change
91- Day	6.91%	6.93%	-0.33%
182-Day	7.40%	7.40%	-0.04%
364-Day	8.34%	8.34%	0.12%
Interbank Rate	6.19%	5.83%	6.17%

Macroeconomic data	Current	Previous
GDP (2Q20 vs. 2Q19)	-5.7%	5.6%
Inflation (December)	5.62%	5.46%
Private sector credit growth (August)	8.30%	7.6%
Money Supply (August)	11.01%	11.29%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.36%** to stand at **109.17**.The CBK's usable forex reserves currently stands at **USD 7,750million** (**4.76** months of import cover) as at December 31st a **0.49%** decrease from **USD7,788million**(**4.78** months of import cover) as at December 24th. This meets the CBK's statutory requirement to endeavour to maintain at least 4 months of import cover.

Inflation

In December, Headline inflation stood at **5.62%** from **5.46%** in November. The CPI increased by **1.09%** from **110.78** in November to **111.87** in December. This increase occurred on the back of a rise in prices of food which outweighed the decreases. Meanwhile, the food and alcoholic beverages index increased by **2.45%** due to the increase in prices of select food items. Headline inflation is likely to increase with the rise in food prices as food products carry a significant weighting in the inflation basket.

GDP growth

Growth receded to **-5.7%** in 2Q20 from **5.6%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.3%** to **6.4%** year-on-year, other sectors have had negative growth including manufacturing, education and accommodation that slowed down to **-3.9%, -56.2%** and **-83.3%** respectively as a result of the crisis caused by the pandemic. For more information click here.

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